

Customer Intelligence Project | D2C Fashion Brand | 3,900 Customers

Business Snapshot

- 3,900 customers analyzed across 50 US states
- Total annual revenue: \$4.05M
- Average promo dependency: 43%
- Truly loyal customers: 21.3%
- Immediate margin recovery opportunity: \$172K+

Key Insights

1. Revenue is highly concentrated

975 Champions (25% of customers) generate 49.7% of total revenue (\$2.01M) at \$2,067 average annual revenue.

2. Promo dependency is reducing profitability

43% of customers are fully promo-dependent, generating \$1.74M revenue but likely at 25–35% lower margins.

3. Growth and margin opportunities are clear

1,109 customers can be moved off promotions immediately, unlocking \$172K+ margin recovery. Alaska, Arizona, and Virginia represent underleveraged growth markets.

Priority Actions

P1: Remove promos for Organic Champions & Stable Loyalists (\$172K+ margin recovery)

P2: Test loyalty points vs discounts for Promo Loyalists

P3: Reactivate At-Risk customers (~\$207K revenue opportunity)

P4: Increase acquisition spend in Alaska, Arizona,

Virginia P5: Build lookalike audiences from Organic Champions

Conclusion

The biggest opportunity lies in improving profitability by reducing unnecessary promotional spend while protecting high-value customers.